

TYLER et al v. OAKDALE IRRIGATION DISTRICT et al
17CV42319

**DEFENSE MOTION FOR LEAVE
TO FILE AMENDED ANSWER**

This is an action for inverse condemnation. Plaintiff alleges that defendants' management of water levels in Lake Tulloch caused a hillside failure, causing the county to "flag" the home as uninhabitable, which ultimately led to its "fire sale" via foreclosure for pennies on the dollar. The critical background facts are as follows:

- Defendant Tri-Dam is a cooperative venture between co-defendants Oakdale Irrigation District and the South San Joaquin Irrigation District. Tri-Dam holds a federal license to operate and maintain a hydroelectric project, which effectively gives it authority to regulate events and activities affecting Lake Tulloch's shoreline.
- In 1986, plaintiff acquired ownership of the subject property (APN 098-022-003), a 1.2-acre lot in a newly-released section of Tract 378 in Lake Tulloch Shores (aka The Shores of Poker Flat). Plaintiff's lot (#551) sat at the top of a steep and rocky embankment along the shore of the Lake. Plaintiff caused to be constructed thereon a 2,400 square foot residence.
- In 2005, plaintiff observed surface slippage around the supports holding the bedroom decks and commissioned professional services to remediate the slippage (at a cost of roughly \$50,000).
- In 2011, plaintiff observed additional slippage around the supports holding the bedroom decks, and new slippage around the supports holding up the "main" deck. Plaintiff commissioned professional services to remediate the slippage (at a cost of roughly \$100,000).
- In 2016, a landslide occurred at the subject property, exposing support structures and leaving the residence in a precarious position. Calaveras County Code Compliance Unit caused to be recorded against the subject property a "red tag" notice. Two years later, the property was sold via nonjudicial foreclosure at a price point considered dramatically below fair market value had the landslide never occurred.

Before the Court is a motion filed on behalf of all three defendants for leave to file a First Amended Answer to revise its Fourth Affirmative Defense. The reason for the request is easily gleaned from this Court's 09/26/22 Order on defendants' motion for summary judgment, which provided in pertinent part as follows:

“Defendants failed to properly preserve the defense because Defendants' fourth affirmative defense asserts that the inverse condemnation action is barred by the statute of limitations but cites CCP §340.6, a statute addressing legal malpractice actions, which has no application to this case.”

The statute of limitations for an inverse condemnation cause of action is codified at either CCP §338(j) [if the dispute is over physical damage to property] or CCP §318 [if the dispute involves possession/control]. Defendants believe that the former controls the case at bar and wish to specify that in an amended answer. Despite the patently liberal rules regarding requests for leave to amend operative pleadings, plaintiff objects, contending that defendants (1) waited too long from first appearing in the action to realize they dropped the ball, (2) any limitations defense tied to inverse condemnation fails as a matter of law, and (3) a fix now would prejudice plaintiff in the form of (a) delaying trial, (b) creating new discovery demands, and (c) possibly adjusting expert witness testimony.

To amend a pleading already at issue, the sponsoring party is required first to seek leave of court by way of noticed motion. (CCP §473(a)(1).) Pursuant to Rule of Court 3.1324, the moving party must specify in the moving papers by page, paragraph, and line number the allegations proposed to be added and/or deleted; and include with the moving papers a declaration specifying (1) the effect of the amendment(s); (2) why the amendment is necessary and proper; (3) when the facts giving rise to the amended allegations were discovered; and (4) the reasons why the request was not made earlier. The supporting declaration by Attorney Matthews is woefully inadequate. There is no discussion as to why the amendment is necessary, or why it was not made earlier. The reason for the barren declaration, however, is rather clear to this Court, to wit: counsel's unwillingness to openly admit that he made a mistake and would like to fix his mistake so the clients do not pay the price. In order to properly preserve the defense, the defendant must either state the specific statute at issue or plead facts with sufficient particularity to clearly acquaint plaintiff with the limitations period at issue. (See CCP §458; *Martin v. Van Bergen* (2012) 209 Cal.App.4th 84, 91.) The Answer filed 10/26/17 - which averred that plaintiff's claim was “barred by the applicable statute of limitations, including but not limited to, California Code of Civil Procedure section 340.6” (see 2:23-24), did neither. Although it is true that plaintiff missed this oversight, it first coming to light when this Court was called upon to make substantive rulings, the fact remains that since defense counsel refuses to admit that the reference to 340.6 was just one of many typos in defense filings that this Court notes, the only conclusion to draw is that counsel made a mistake of law regarding pleading an affirmative defense. A mistake of law is ordinarily imputed to the client. However, since this is curable with an amended

declaration properly “falling on the sword”, this Court will forgive the declaration’s shortcoming and reach the merits of the request for leave.

Assuming “340.6” was a scrivener’s error and not a negligent legal decision, the fact that it carried over since October of 2017 is of no consequence since plaintiff’s counsel could have brought forth a motion to strike (or summarily adjudicate) the affirmative defense at any time during the ensuing five years. Attorney Renfro does not contend in her 11/17/22 declaration that she recognized the typo and sat quiet hoping to gain a tactical advantage over her adversary intended to take advantage. Instead, a fair reading of her declaration permits the inference that she too failed to catch the issue until this Court brought it to light. A review of her brief in opposition to the summary judgment motion reveals that she actually believed CCP §338(j) was already subsumed within the existing Fourth Affirmative Defense. Thus, the concept of unfair delay causing prejudice is not present here. (See, e.g., *Melican v. Regents of University of California* (2007) 151 Cal.App.4th 168, 175-176; *Huff v. Wilkins* (2006) 138 Cal.App.4th 732, 746; *Emerald Bay Community Assn v. Golden Eagle Ins Co.* (2005) 130 Cal.App.4th 1078, 1097; *Green v. Rancho Santa Margarita Mortgage Co.* (1994) 28 Cal.App.4th 686, 693; *Hulsey v. Koehler* (1990) 218 Cal.App.3d 1150, 1159; *Fisher v. Larsen* (1982) 138 Cal.App.3d 627, 649.)

Regarding plaintiff’s concern that the proposed amendment has no bearing in the case as a matter of law, that is an overstatement of how motions to leave are vetted. Ordinarily, a court will not consider the validity of the proposed amendment in deciding whether to grant leave to amend (that can normally be dealt with via demurrer) and may not condition leave upon the submission of evidence substantiating the new claim(s). However, the court has limited discretion to deny leave to amend where the new claim is, on its face, fatally flawed or where the amendment is a sham. (See *Garcia v. Roberts* (2009) 173 Cal.App.4th 900, 912; *Sanai v. Saltz* (2009) 170 Cal.App.4th 746, 769-770. *State ex rel Metz v. CCC Information Services, Inc.* (2007) 149 Cal.App.4th 402, 412; *Edwards v. Superior Court* (2001) 93 Cal.App.4th 172, 180; *Yee v. Mobilehome Park Rental Review Board* (1998) 62 Cal.App.4th 1409, 1429.) Although this Court has expressed doubt about defendants’ success in pursuing a statute of limitations defense (see Minute Order dated 09/02/22 and Order dated 09/26/22), the parties already believed that inverse condemnation statute of limitations was a ripe issue for resolution, and plaintiff never sought a substantive ruling thereon. The defense is not fatally flawed or a sham, just unlikely to win given (1) the relative quiet between plaintiff’s 2011 remediation and the April 2016 landslide, (2) the apparent lack of expertise establishing a nexus between the slippage in 2011 and the landslide (see defendants’ UMFs 24-28), and (3) plaintiff is suing for the actual taking of his residence via landslide, not the partial taking for damage to his property in 2011.

Finally, plaintiff’s concern that permitting this amendment will delay trial and require additional discovery is not warranted. Defendant is not requesting to reopen discovery, and this Court sees no reason to do so since both sides readily admit that they believed §338(j) was part of the case from its inception. Moreover, since both sides opined that

§338(j) was already part of the case, there is no basis for any plaintiff motion directed at the amended answer. However, to reduce the chance of confusion that might accompany the filing of a formal amended pleading making a very small change, and potentially opening other doors, this Court will grant the defense an *amendment* to the answer filed 10/26/17 via interlineation, crossing out §340.6 and substituting in its place §338(j). The motion for leave to file a first amended answer is therefore moot.

The Clerk shall provide notice of this Ruling to the parties forthwith. Defendants to prepare formal Orders pursuant to Rule of Court 3.1312 in conformity with these rulings.

SANCHEZ et al v. SIMPSON et al

22CV46351

**PLAINTIFFS' APPLICATION
FOR PRELIMINARY INJUNCTION**

This is a civil action stemming from an oddly-conceived real estate transaction between friends, neighbors, and distant cousins. The plaintiffs – elderly and/or infirm – sold their residence to defendants for \$356,000, but obtained no cash in the deal. Instead, plaintiffs agreed to pay all escrow fees and carry back the entire purchase price (minus \$1,000) as a promissory note with only 3% interest. Based on the amortization schedule provided by escrow, plaintiffs were not due to be paid in full until after two of three plaintiffs have reached the age of 107. Plaintiffs allege in their Complaint that many of the terms “understood” by the parties did not make it into the Residential Purchase Agreement actually signed by the parties, such as defendants’ obligation to secure financing to pay off the promissory note in due course. There are also issues surrounding plaintiffs’ access to the property to retrieve personal effects left behind after the close of escrow.

Before the Court this day is plaintiffs’ application for preliminary injunction. Based on the initial papers, this Court issued in plaintiffs’ favor a TRO, barring defendants from (1) selling the property, (2) selling or otherwise disposing of plaintiffs’ personal effects left at the property, and/or (3) altering the property without plaintiffs’ consent. The hearing was set for today, with an invitation to both sides to submit briefing. The parties stipulated between themselves as to the date those briefs would be due, and yet – at present – nothing is filed.

A preliminary injunction is an equitable remedy designed to preserve the existing status quo until the dispute between the parties can be finally resolved on the merits. Preliminary injunctions are generally available to avoid waste (CCP §526(a)(2)), to keep a party from violating the rights of another (CCP §526(a)(3)), and whenever sufficient grounds exist pursuant to caselaw (CCP §527(a)), such as when the applicant has demonstrated a likelihood of prevailing on the merits and yet is likely to suffer in the interim irreparable harm which cannot be adequately addressed with money. Courts refer to this as a sliding scale of considerations – how likely the party is to win versus how much harm it will suffer awaiting its day in court. See *White v. Davis* (2003) 30 Cal.4th 528, 554; *Butt v. State of California* (1992) 4 Cal.4th 668, 677-678; *Stevenson v. City of Sacramento* (2020) 55 Cal.App.5th 545, 551; *Amgen Inc. v. Health Care Services* (2020) 47 Cal.App.5th 716, 731.

Looking first to the Fifth Cause of Action for Conversion, conversion is the wrongful exercise of dominion over the property of another. The elements of a conversion claim